

Budget impact of Medicaid coverage of Wegovy and Zepbound for obesity

A state Medicaid program of 1 million enrollees, five years, incremental to no coverage.

Central case (years 3–5 plateau, prior authorization as observed in the covering states (multiplier 1.0), rebate 51.2% = midpoint of 23.1% and 79.3%): five-year net cost \$161.3 million, \$2.69 per enrollee per month; gross \$330.7 million.

Probabilistic sensitivity (10,000 draws): median \$145.4 million, 90% interval \$58.1 to \$319.9 million.

At the announced \$245 per monthly prescription: \$68.3 million (PMPM \$1.14) in the plateau scenario.

What is measured: incremental prescriptions per 1,000 enrollees from Module C (observed fills, so discontinuation is already in the uptake); SDUD gross cost per prescription; NHANES eligible share; adult share of enrollment.

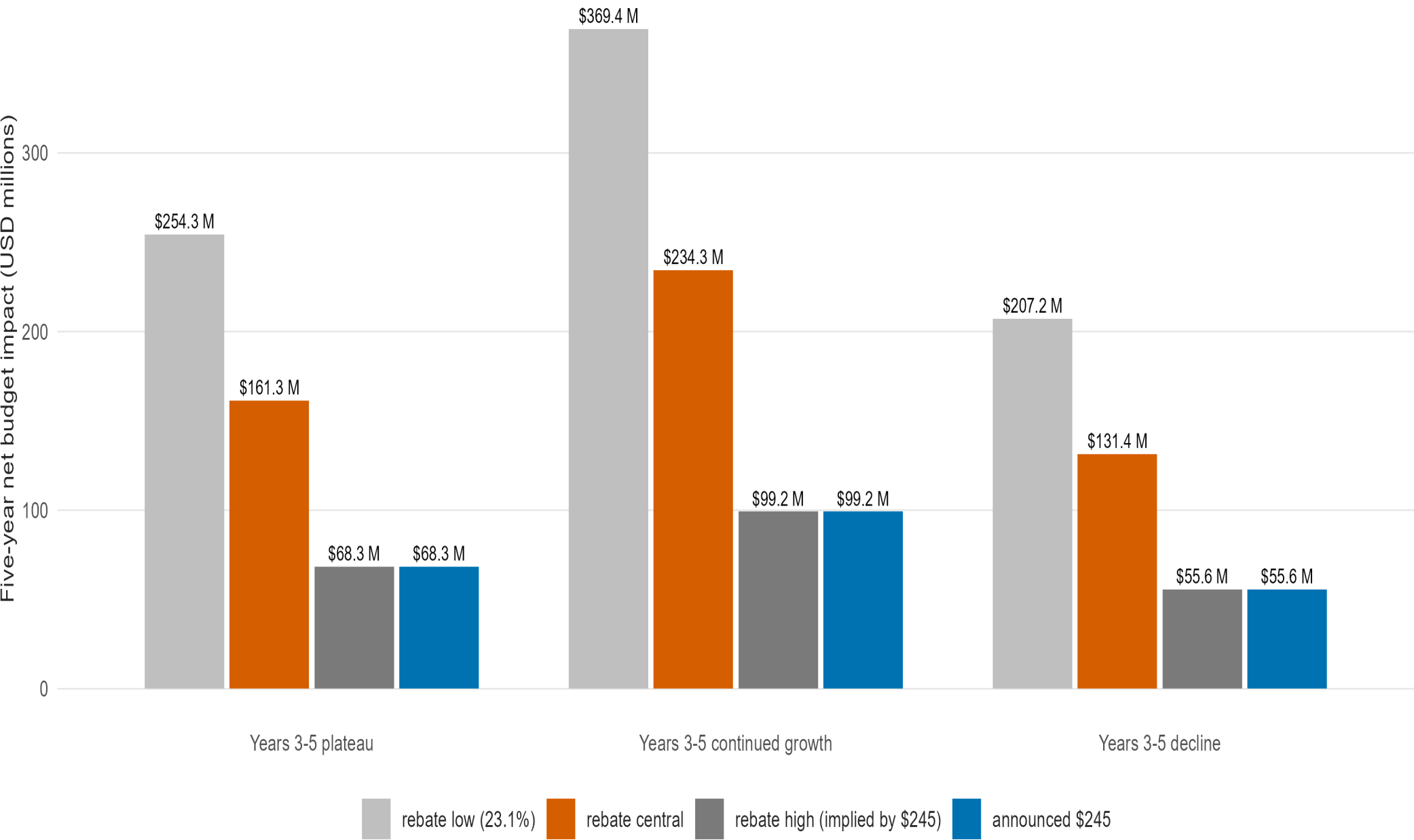
What is assumed: rebates (23.1% statutory minimum to the rebate implied by \$245), prior authorization multiplier (tight 0.5 to 0.75, loose up to 1.25; central 1.0 = as observed), years 3–5 scenarios, one prescription = one month. SDUD amounts are gross of rebates.

Scenarios, not forecasts; no medical cost offsets are included. Source: CMS SDUD, Medicaid enrollment, NHANES; 42 U.S.C. 1396r–8; White House fact sheet (Nov 2025).

Central scenario by year (1 million enrollees)						
Descriptions	Gross cost	Net cost	Net PMPM	Users	Net cost per user per year (4.3 fills, MEPS)	Net cost per member–year of continuous treatment
	\$23,405,578	\$11,416,541	\$0.95	4,546	\$2,511	\$6,943
	\$62,165,691	\$30,322,566	\$2.53	12,075	\$2,511	\$6,943
	\$81,717,510	\$39,859,359	\$3.32	15,873	\$2,511	\$6,943
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Sensitivity analysis						
Assumptions						
Years 3–5	Price or rebate		Five–year gross		Five–year net	PMPM
plateau	rebate low (23.1%)		\$330.7M		\$254.3M	\$4.24
growth	rebate low (23.1%)		\$480.4M		\$369.4M	\$6.16
decline	rebate low (23.1%)		\$269.4M		\$207.2M	\$3.45
plateau	rebate central		\$330.7M		\$161.3M	\$2.69
growth	rebate central		\$480.4M		\$234.3M	\$3.91
decline	rebate central		\$269.4M		\$131.4M	\$2.19
plateau	rebate high (implied by \$245)		\$330.7M		\$ 68.3M	\$1.14
growth	rebate high (implied by \$245)		\$480.4M		\$ 99.2M	\$1.65
decline	rebate high (implied by \$245)		\$269.4M		\$ 55.6M	\$0.93
plateau	announced \$245		\$330.7M		\$ 68.3M	\$1.14
growth	announced \$245		\$480.4M		\$ 99.2M	\$1.65
decline	announced \$245		\$269.4M		\$ 55.6M	\$0.93

Five-year net cost for 1 million enrollees ranges from \$55.6M to \$369.4M across years 3-5 scenarios and rebate or price assumptions; central \$161.3M

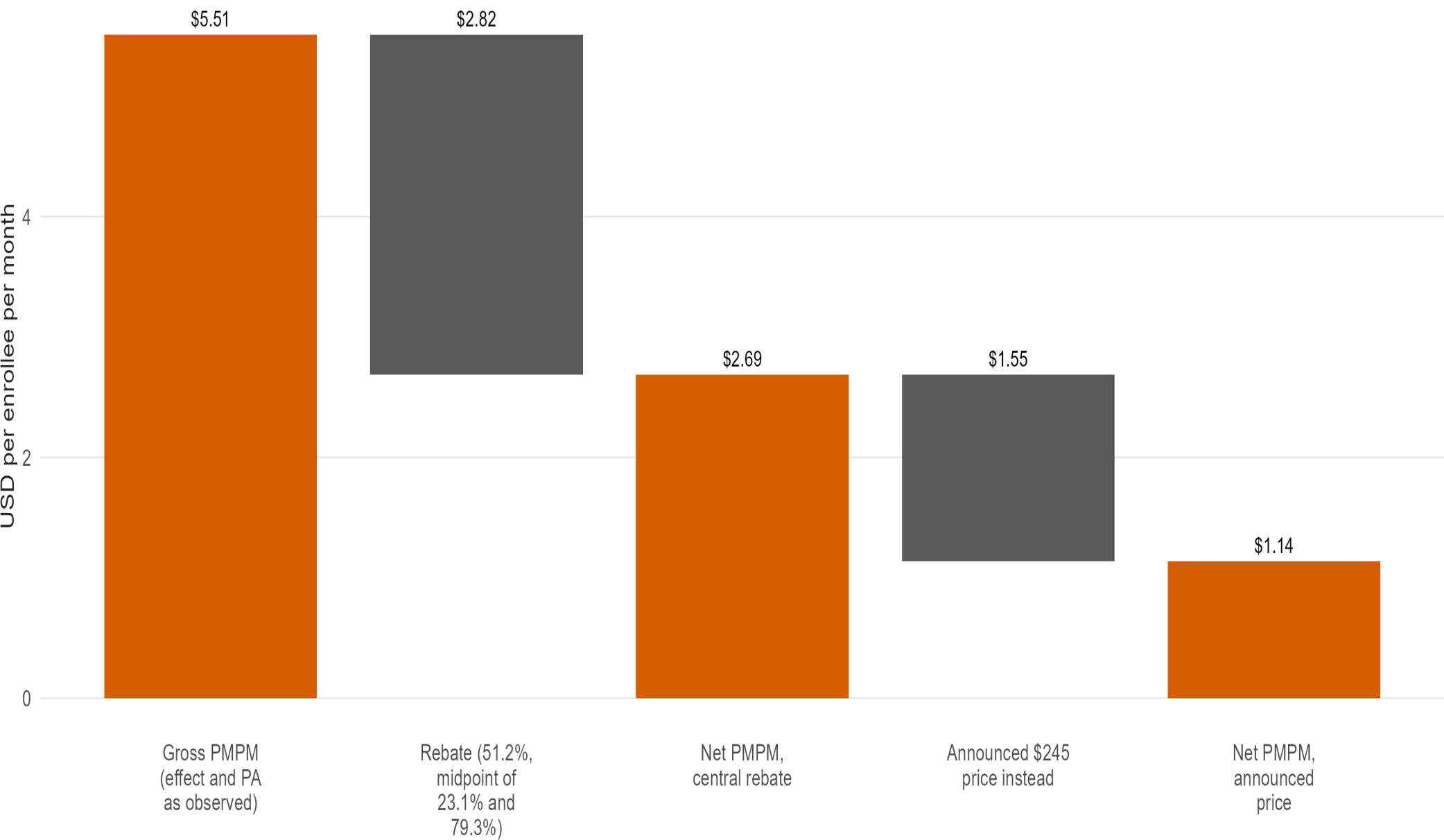
Net cost by years 3-5 scenario and by rebate or price assumption (prior authorization as observed, multiplier 1.0; incremental to no coverage).



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Per enrollee per month, a gross cost of \$5.51 falls to a net \$2.69 after a rebate of 51.2% (midpoint assumption), and to \$1.14 at the announced \$245 price (five-year average, 1 million enrollees)

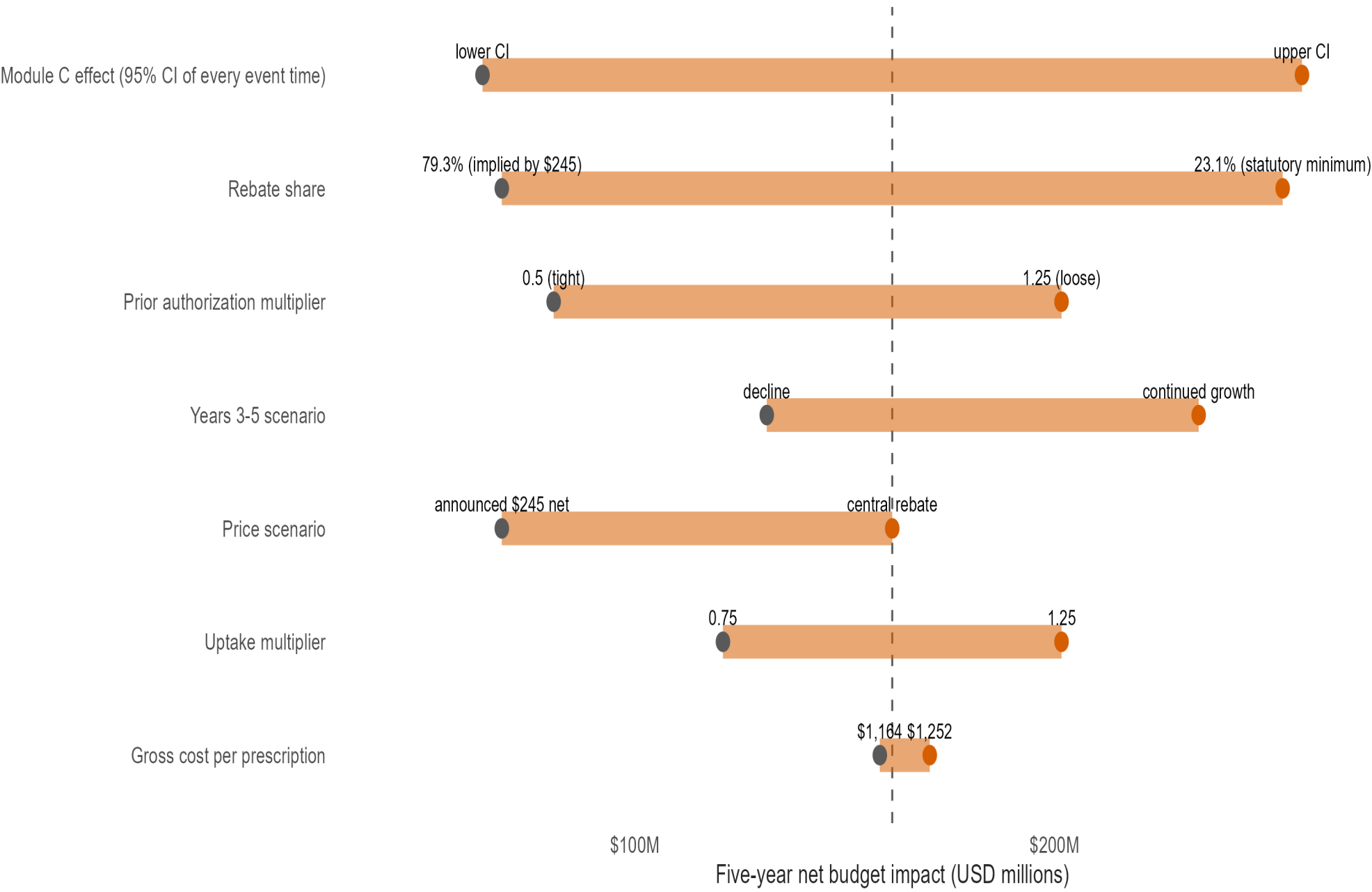
Waterfall from gross PMPM (effect and prior authorization as observed in the covering states) to net PMPM. The rebate step is an assumption; the \$245 price is an announced program price.



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Five-year net budget impact for 1 million enrollees is \$161.3M in the central case; the widest swings are Module C effect (95% CI of every event time) (\$63.7M to \$258.9M) and Rebate share

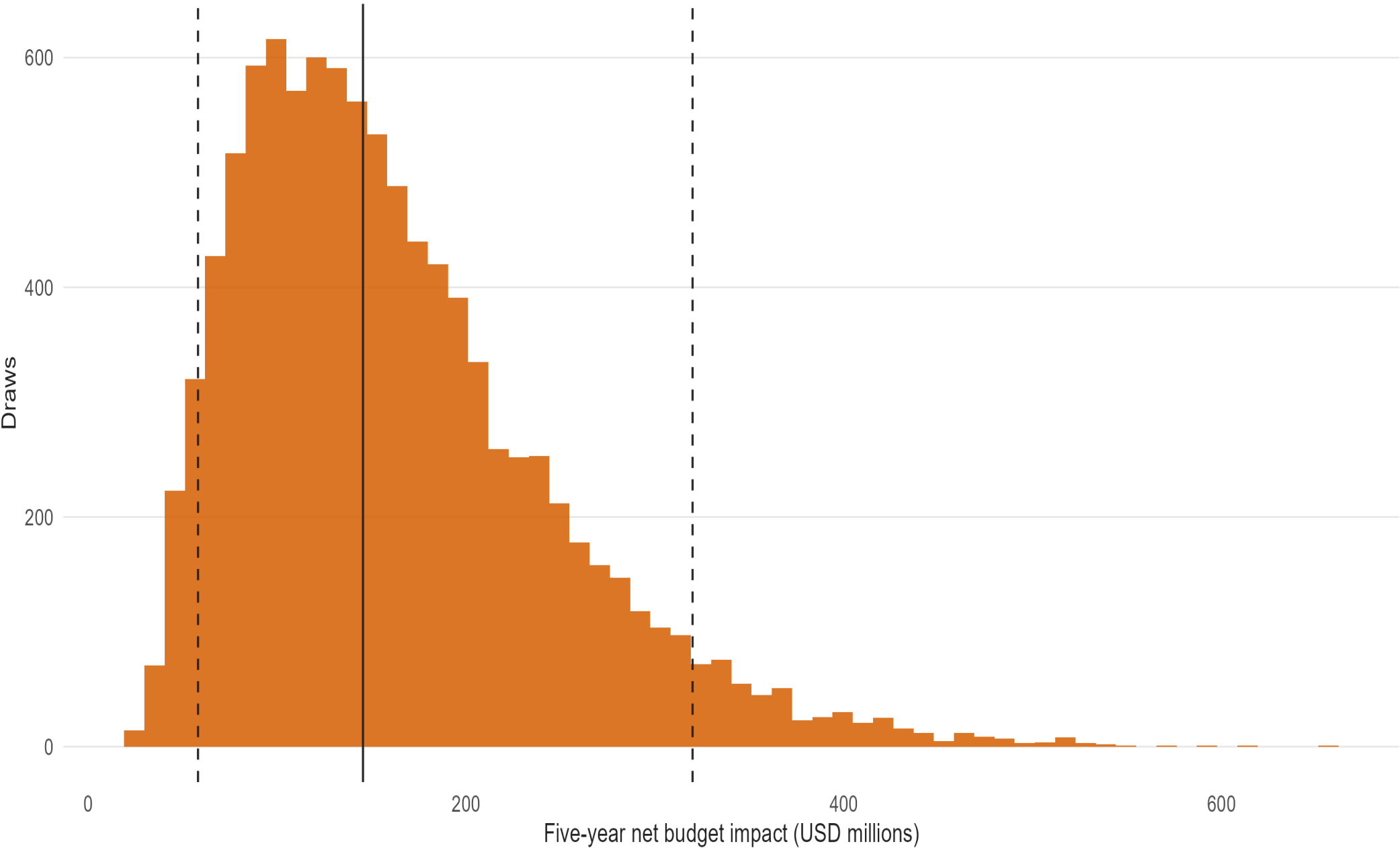
One-way sensitivity: each parameter moved across its range with the others at central values (incremental to no coverage; central = plateau, PA as observed, rebate 51.2% = midpoint of 23.1% and 79.3%).



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Across 10,000 draws the five-year net budget impact has a median of \$145.4M (90% interval \$58.1M to \$319.9M); PMPM median \$2.42

Probabilistic sensitivity analysis: Module C effects drawn from their SEs (independent event times; perfect correlation gives \$50.3M to \$347.3M), gross cost, rebate, prior authorization multiplier and years 3-5 scenario drawn from their ranges. 1 million enrollees.



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.